

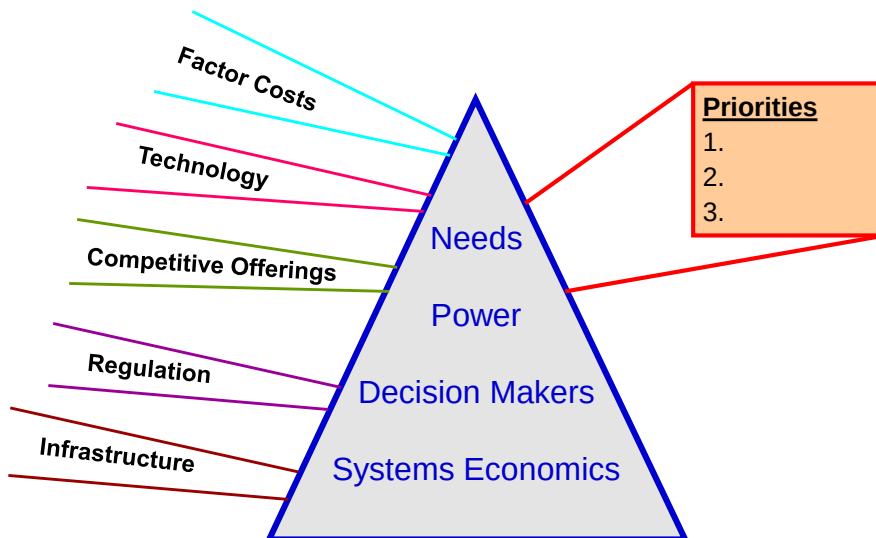
Value Migration



Department of Management Studies
Indian Institute of Technology Madras

LPS

The Customer's Decision Making System



Not Technology, Business Design

Traditional Sources of Economic Discontinuity

-  The Xerox machine
-  The VAX computer
-  Medical breakthroughs
-  The VCR
-  Lotus 1-2-3

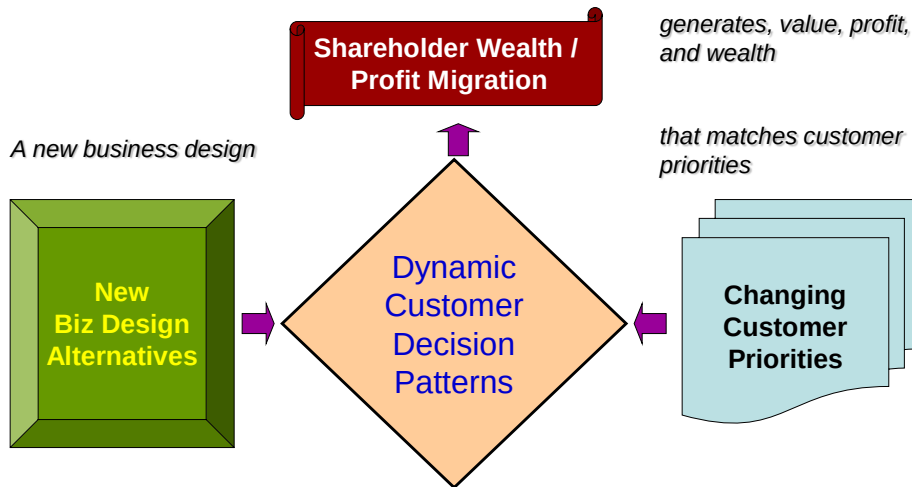
New Sources of Economic Discontinuity

-  Federal Express
[superior logistics and execution]
-  Nucor
[low cost steel production]
-  Wal-Mart
[low cost distribution]
-  SouthWest Air
[point-to-point system]
-  Intel
[rapid product development]

Business Design Comparison

	Traditional Auto	Toyota
Key Elements	Product-focused Rigid manufg. System Backward integration	Customer-focused Flexible manufg. and selling Specialization
Key Assumptions	Technology and scale drive success "There is only one way to do business"	Customer understanding and business design drive success Innovation improvement is possible

The Mechanism of Value Migration



What Does "Market Value" Mean?

- ❑ The current quoted price at which investors buy or sell a share of common stock or a bond at a given time. Also known as "market price".
- ❑ Total market value = the market capitalization + the market value of debt

Explanation:

- ❖ In the context of securities, market value is often different from book value because the market takes into account future growth potential.
- ❖ Most investors who use fundamental analysis to pick stocks look at a company's market value and then determine whether or not the market value is adequate or if it's undervalued in comparison to its book value, net assets or some other measure.

Market Capitalization:

- ❑ The total dollar market value of all of a company's outstanding shares.
- ❑ Calculated by multiplying company's shares outstanding by the current market price of one share.

What Does “Market Value Added” Mean?

A calculation that shows the difference between the market value of a company and the capital contributed by investors (both bondholders and shareholders). In other words, it is the sum of all capital claims held against the company plus the market value of debt and equity.

Calculated as:

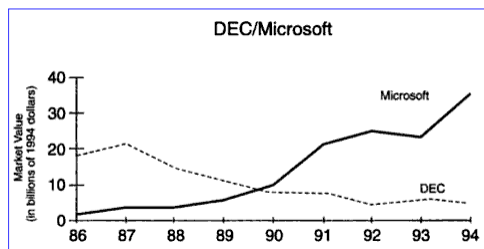
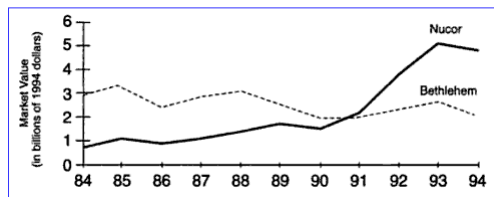
$$\text{MVA} = \text{Company's Market Value} - \text{Invested Capital}$$

- The higher the MVA, the better. A high MVA indicates the company has created substantial wealth for the shareholders.
- A negative MVA means that the value of management's actions and investments are less than the value of the capital contributed to the company by the capital market (or that wealth and value have been destroyed).

	1994 Revenue*	1994 Market Value*	Market Value/Revenue
U.S. Steel	\$6.1	\$4.1	.7
Bethlehem	\$4.8	\$2.7	.6
Inland	\$4.5	\$2.3	.5
Nucor	\$3.0	\$5.0	1.7

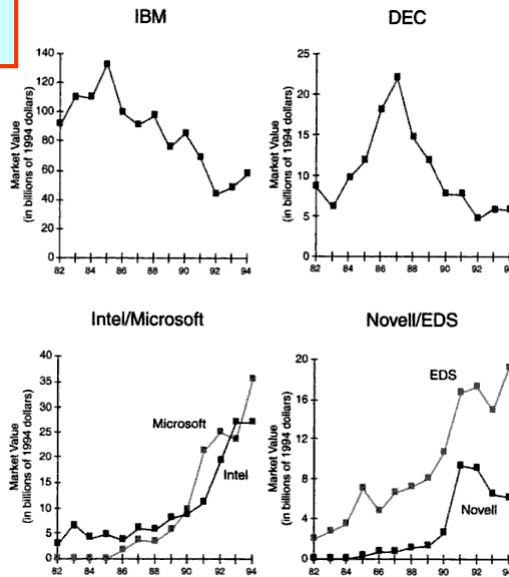
*in billions

Value Migration



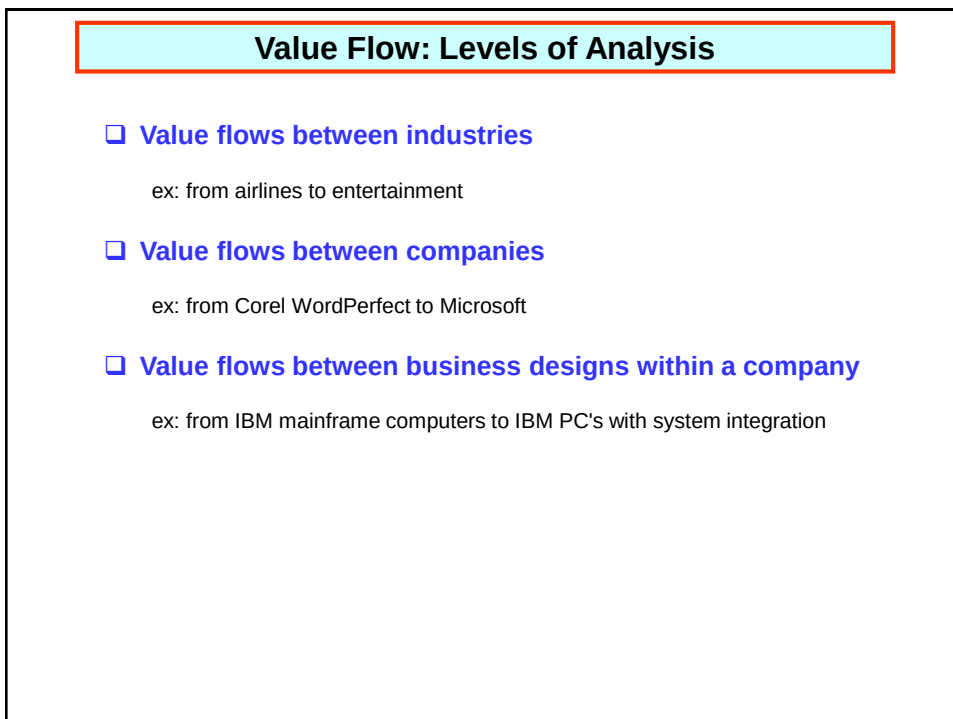
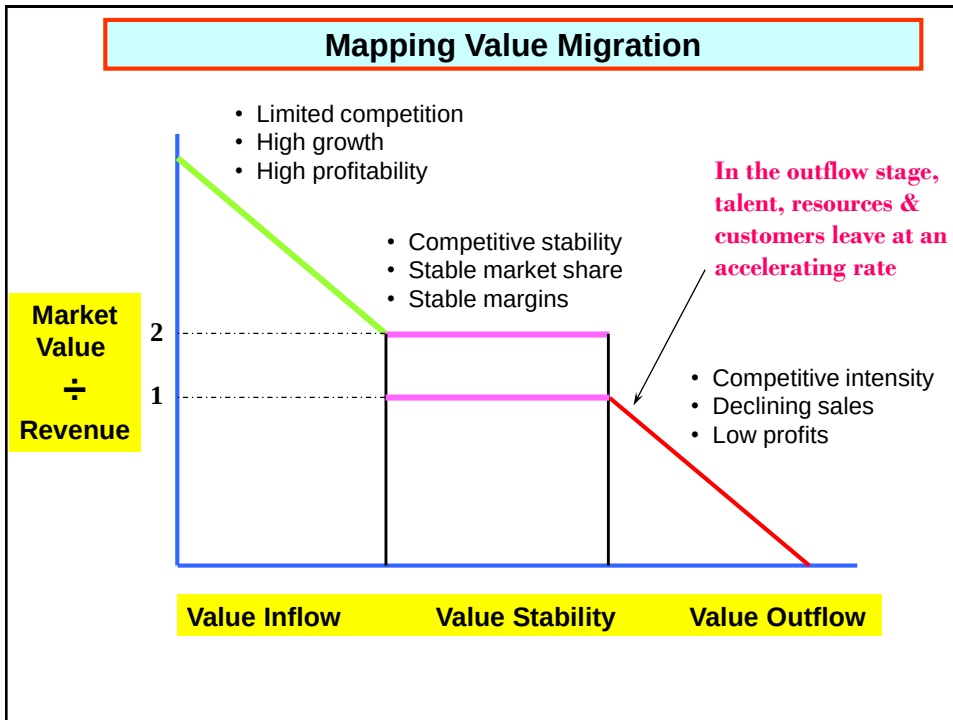
Computer Industry - Value Migration

Within a decade,
IBM and DEC
lost \$80Bn in value
while
new specialized
business designs
gained \$80Bn.

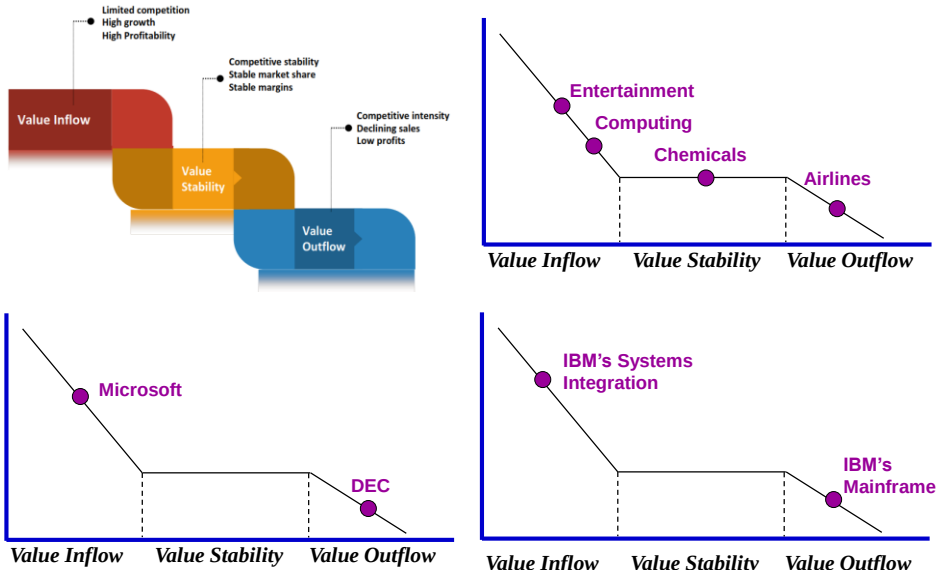


“Adrian Slywotzky defines value migration as a flow of economic and shareholder value away from obsolete business models to new, more effective designs that are better able to satisfy customers’ most important priorities. It reflects changing customer needs that will be satisfied by new competitive offerings. Value migration occurs when there is a disconnect between customer priorities and existing business designs.”

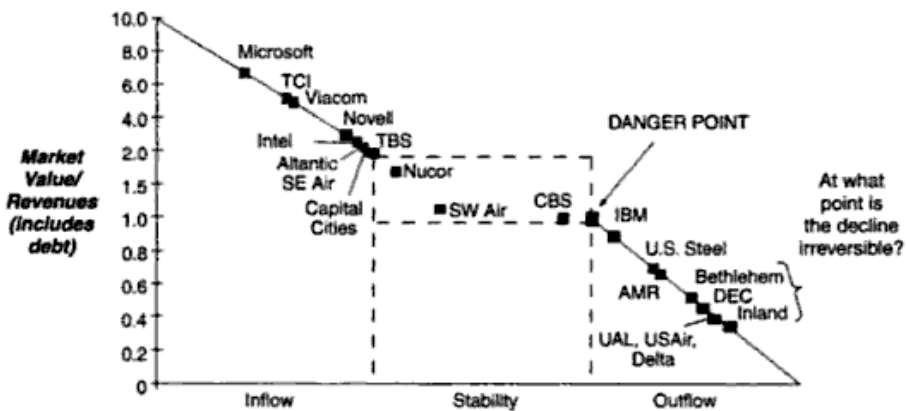


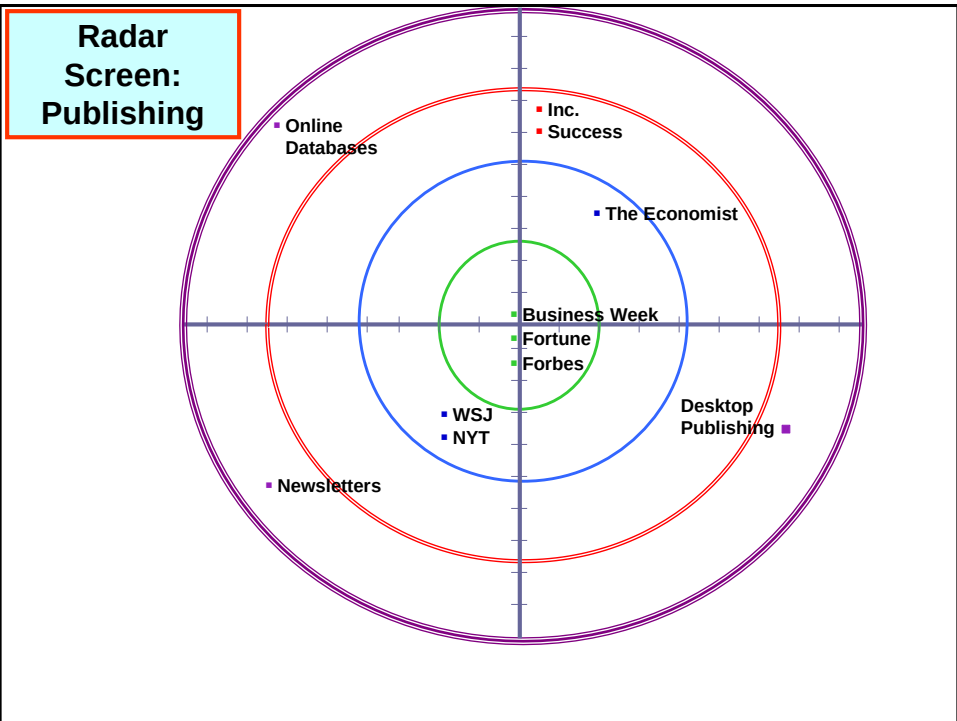
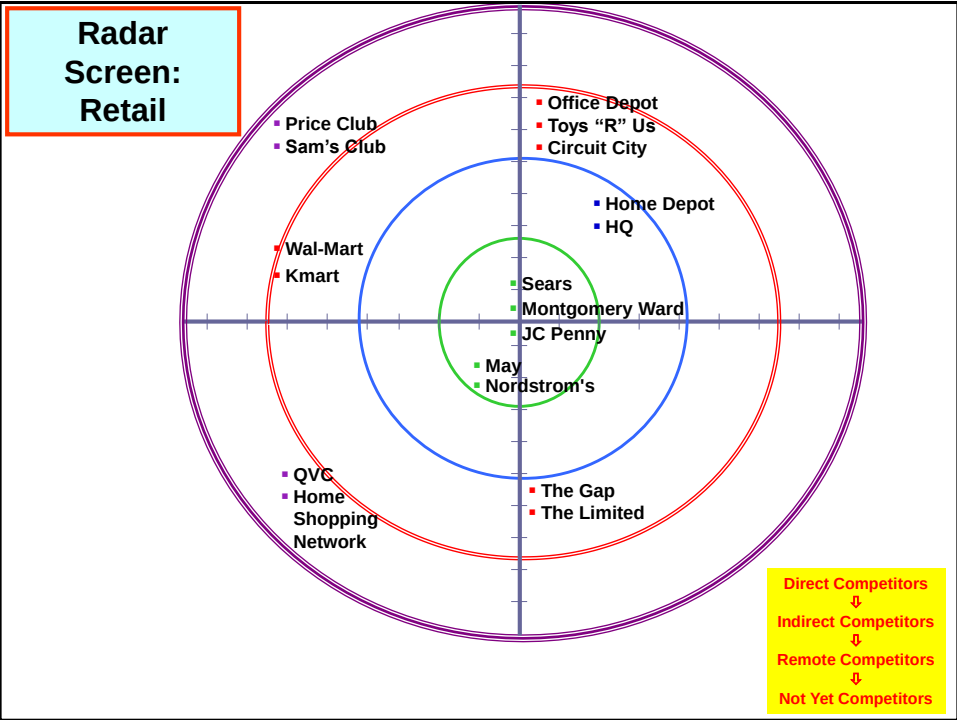


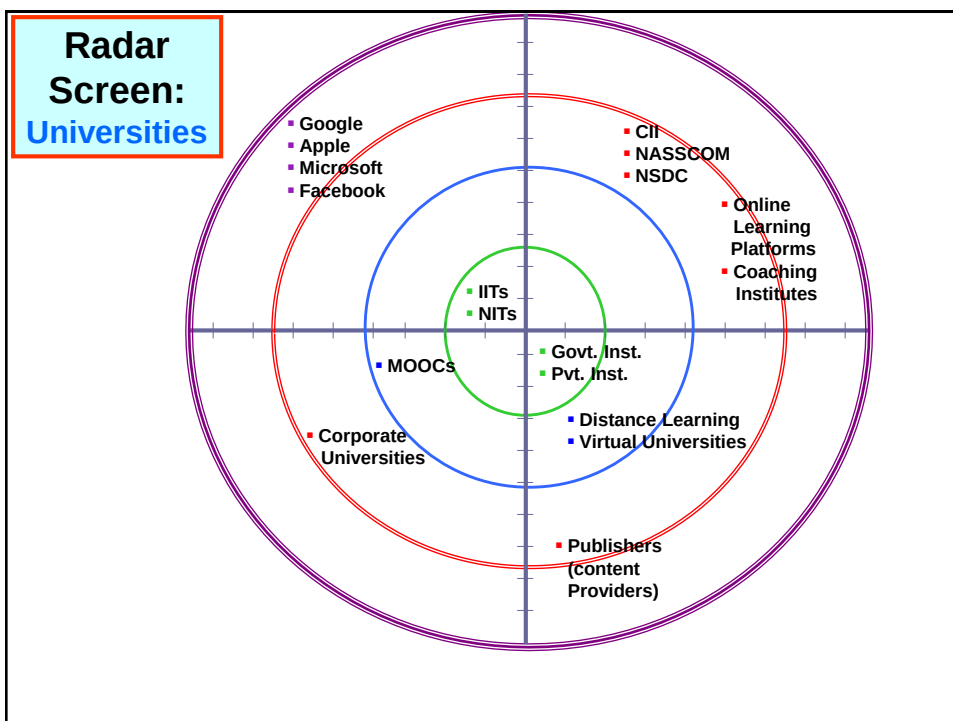
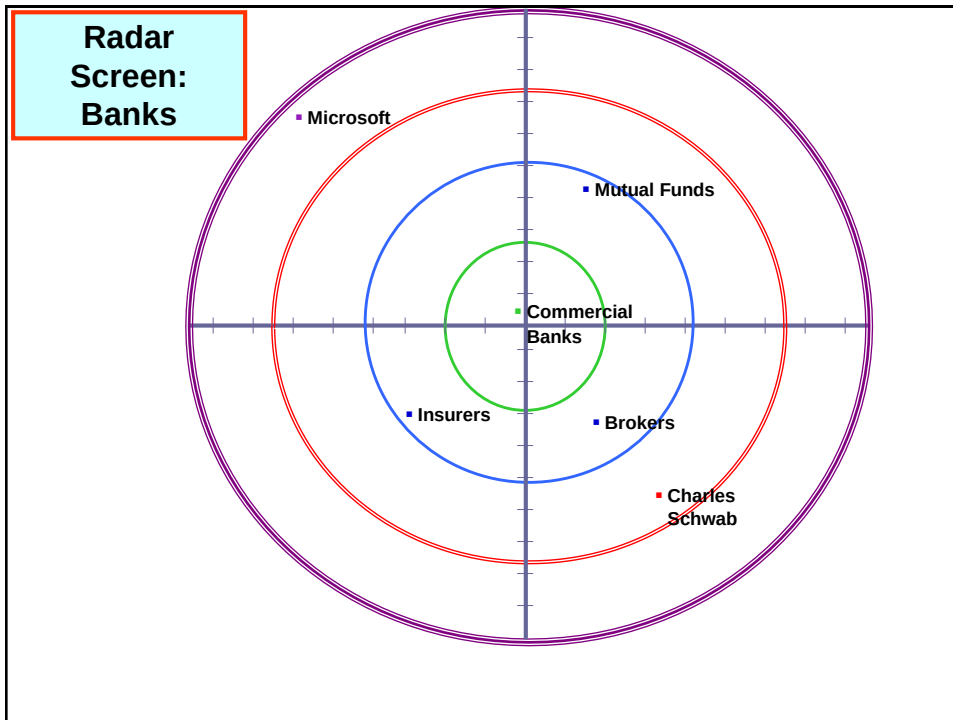
Value Flow: Levels of Analysis



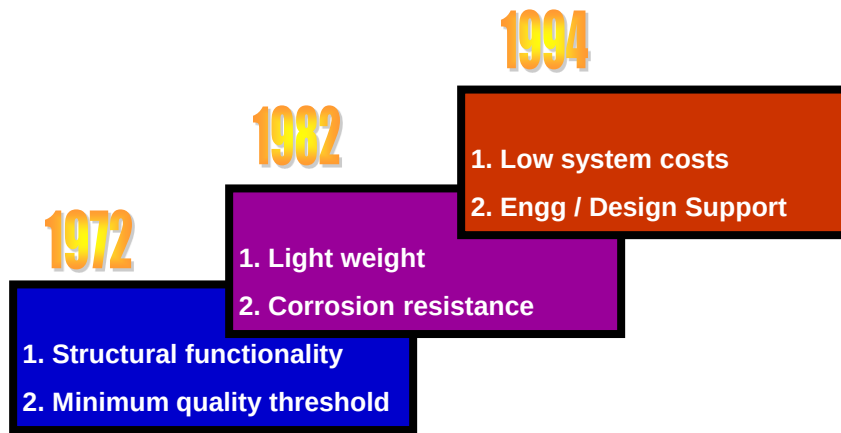
Value Migration Status (1994)



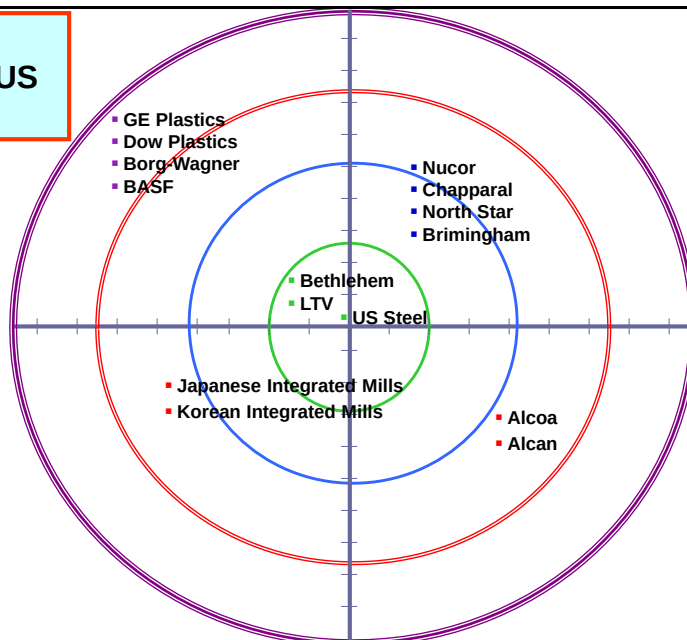




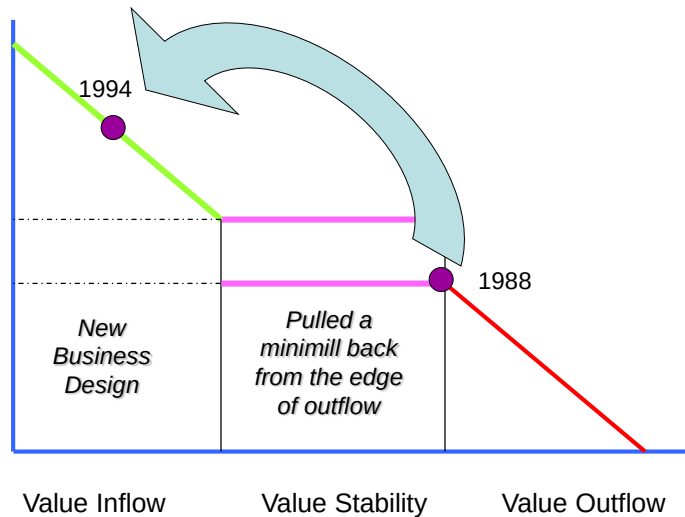
Changing Customer Priorities (Steel)



Radar Screen: US Steel

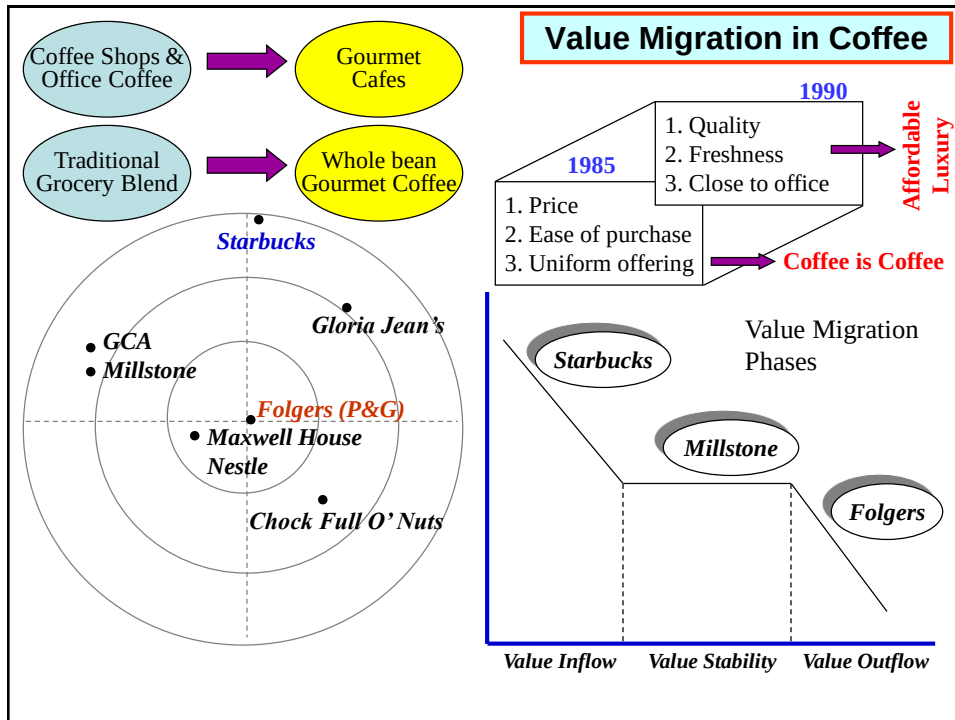


Nucor: Business Design Reinvention



New Business Design

	US Integrated Mills	Minimills
Fundamental Assumptions	The fully integrated, basic O ₂ furnace method is the only way to produce high-quality steel economically.	Steel can be made economically in smaller quantities.
Customer Selection	Broad line, serving multiple segments of customers.	Focus on construction in regional markets.
Scope	Full product line	Low-end construction products (rebar).
Manufacturing / Operating System	Blast furnace / Basic O ₂ furnace Iron ore as raw material	Electric arc furnace Scrap steel as raw material
R&D / Product Development	In-house	Piggyback on equipment manufacturers and universities.
Organizational Configuration	Unionized labor High overhead	Non-unionized labor Incentive based compensation Bare-bones overhead



Replaying the Game (P&G Perspective)

- ❑ “We sell coffee” vs. “We sell canned coffee of moderate quality in groceries.”
- ❑ The brand we have built to sell mid-tier coffee will not cater to gourmet coffee position as its made of Robusta rather than Arabica beans. So we need to launch a new brand that preempts the quality position. We may need a new design, but we’ve done radical stuff before!
- ❑ Most restaurants, food chains and institutions sell Coke or Pepsi (branded) but unbranded coffee. Once our gourmet brand is established in grocery stores, we may be able to move into the institutional market (after all, we sell to Wal-Mart!).

“It’s too late for strategic decisions. It’s time for strategic excuses.”

Eric & Bill

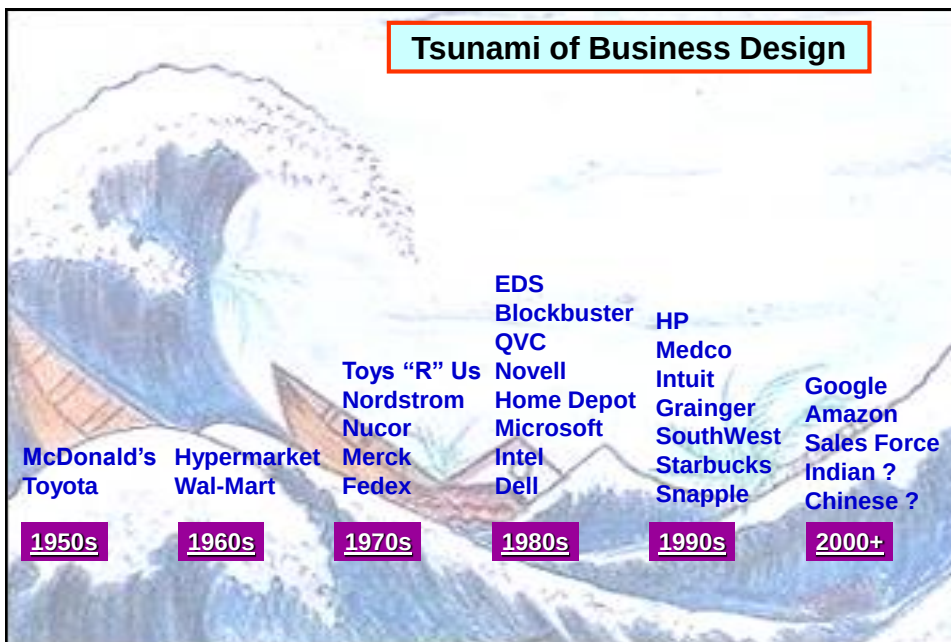
Replaying the Game

- ❑ **Whole bean provider:** Could have built a brand by opening a café division. Took 7 years for Brothers to catch on. By opening the café format, regional whole bean providers could have built brand loyalty. Especially as they do not have P&G's deep pockets. If the regional whole bean provider launched in 1991, could have built a national brand. By 1994, it was too late.
- ❑ **Starbucks:** May have missed an opportunity by not aggressively expanding via franchising. Region by region rollout gave competitors / imitators time to preempt in certain markets. This way it would have "conquered" the retail business and could have focused more fully on institutional and grocery markets.

"Inflationary pressure doesn't bother me, unless it starts affecting prices at Starbucks."



Tsunami of Business Design



The Competitive Field of Vision

Industry	Traditional Competitors...	and Those That Really Mattered.
Retailing	Sears, Montgomery, Ward, JC Penny	Kmart, Wal-Mart, Target, Toys "R" Us, Circuit City, The Limited, The Gap
Automotive	GM, Ford, Chrysler	Toyota, Honda, Nissan, Hyundai, Volvo
Media	ABC, CBS, NBC	Turner, TCI, Blockbuster Video
Computing	IBM, DEC, Wang, Apple	Microsoft, Intel
Advertising	Ogilvy, Y&R, Burnett, McCann Erickson	Morris, TBWA/Chiat/Day
Steel	US Steel, Bethlehem, Inland	Nippon Steel, GE Plastics, Alcoa, Nucor, Dow, Chaparral
While the incumbents battled each other,		unconventional players captured new value.

Value Migration: Customers

- ? Who is the customer? Are decision makers and influencers changing? If so, how do their buying criteria differ?
- ? What are the customers' economics and process flow?
- ? Which customers' needs are mature and require a more cost-effective solution? Which needs are emerging and require a performance solution?
- ? Given the customers' economics and needs profile, how are their priorities changing?

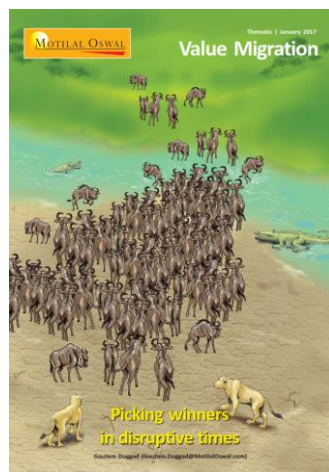
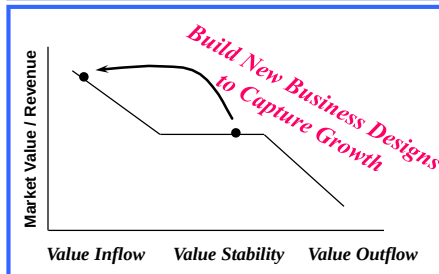
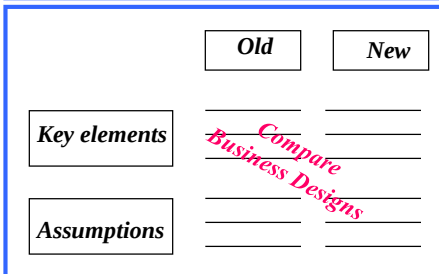
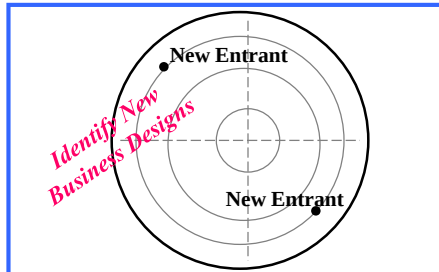
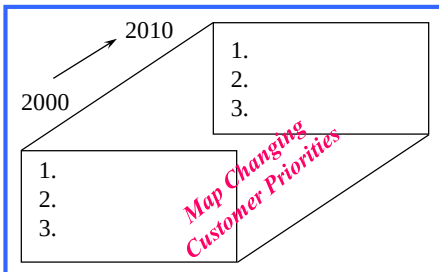
Value Migration: New Business Designs

- ? How many distinct new business designs have been introduced in your industry in the past five years?
- ? What is their customer and economic rationale?
- ? How do their economics compare to yours?
- ? How do their customer ratings compare to yours?

Value Migration: Value Movement

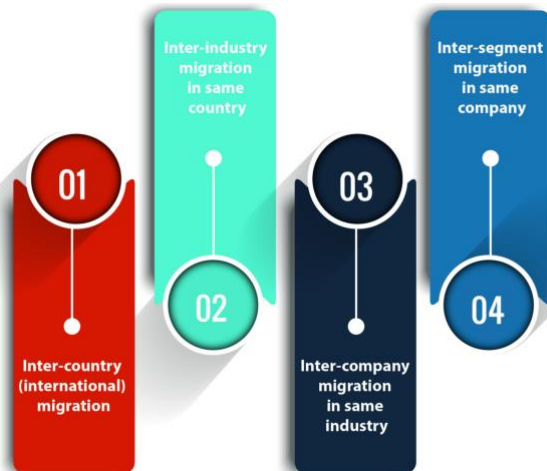
- ? Map the value migration that enabled you to gain your present position. Who was the vanquished incumbent and why?
- ? What is the total market value of your industry? What is your share of that value? Who is gaining share of value most rapidly?
- ? Which industries are economic neighbors of your own (e.g., steel, aluminum, plastics)? Is your industry losing value to them? Why? How rapidly?

Capturing Value Growth



Inter-company migration in same industry
Inter-country (international) migration
Inter-industry migration in same country
Inter-segment migration in same company

Value Migration: Types



MOTILAL OSWAL

Source: Motilal Oswal, Value Migration (2017)

Value Migration: Types (Indian Examples)

Inter-country migration
The Indian IT and Pharma sectors have seen value migration from western geographies owing to lower cost and niche capabilities

Inter-company migration in same industry
Value has migrated from the public sector to the private sector in the Indian Banks and Telecom spaces.

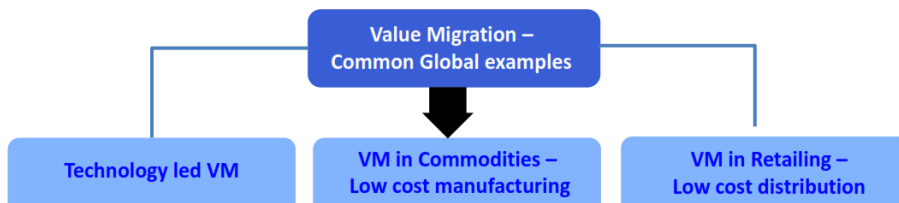
Inter-industry migration in same country

In India, value has migrated from Railways to Airlines, facilitated by low-cost, non-frills airlines.

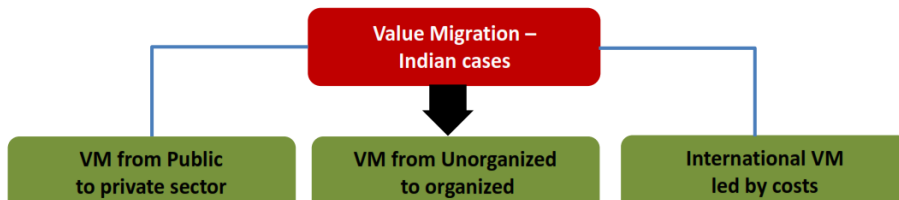
One segment to another in same company
Telecom service operators have seen value migrating from Voice to Data.

MOTILAL OSWAL

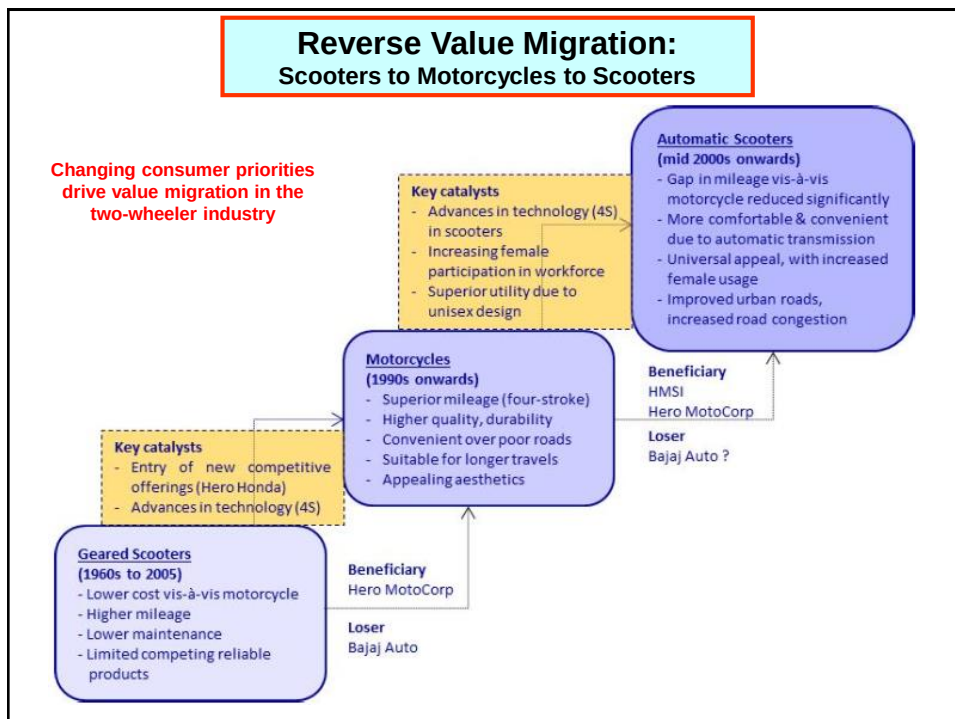
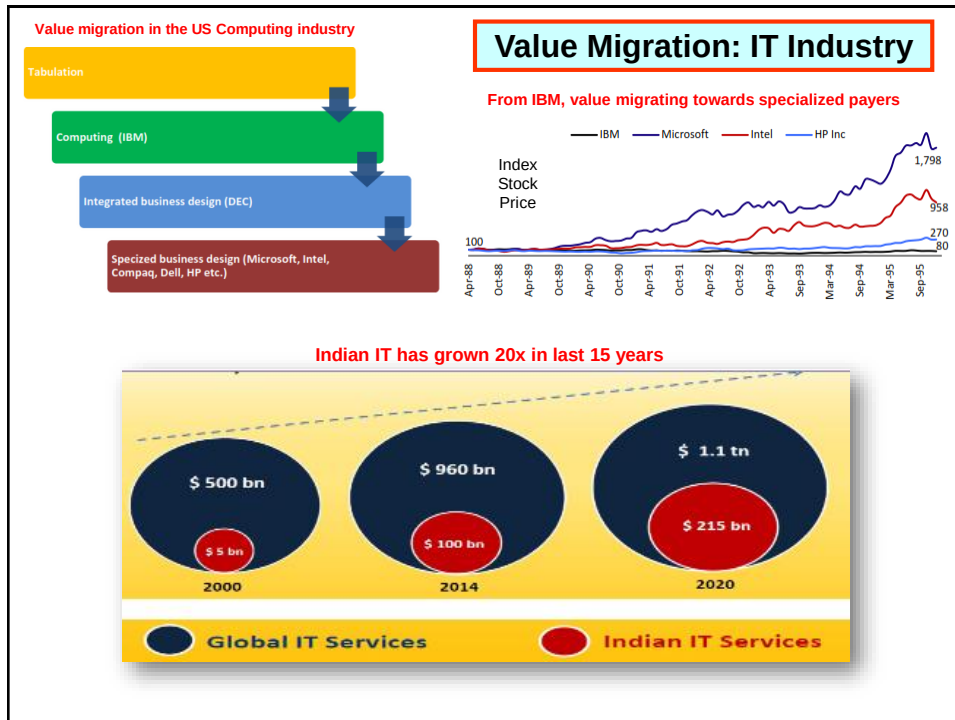
VM in global context



VM in Indian context

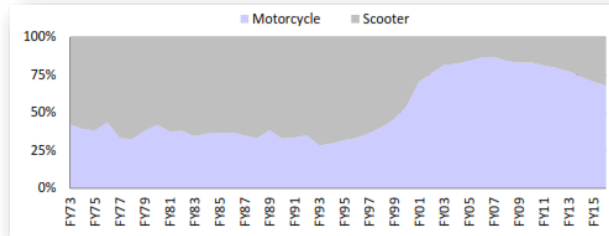


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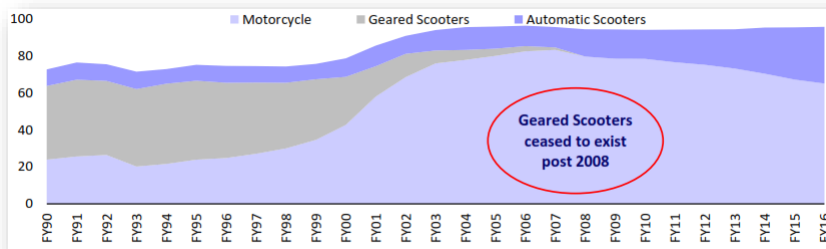


Reverse Value Migration: Scooters to Motorcycles to Scooters

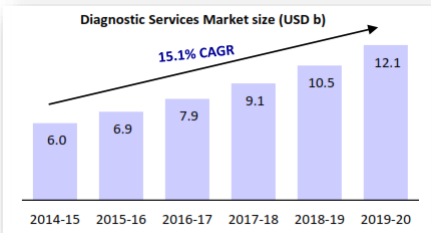
Changing customer priorities drove value flow from scooters (geared) and mopeds to motorcycles from 1990s to mid-2000s



Value migration from Geared Scooters to Motorcycles to now towards Automatic Scooters

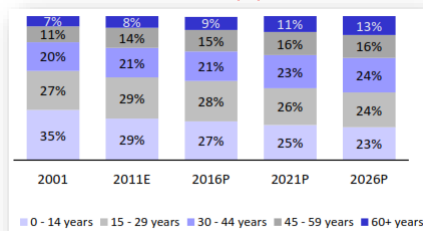


Diagnostic services industry to grow at 15% CAGR over FY15-20E

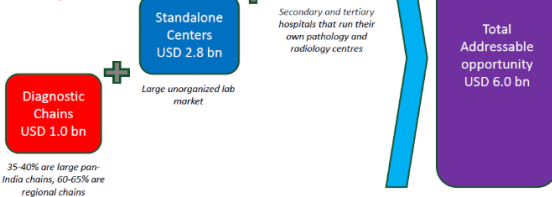


Value Migration: Diagnostics

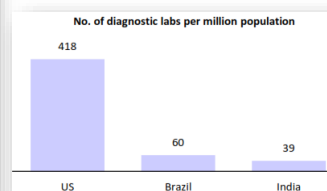
Geriatric population increasing at faster rate than rest of the population



Diagnostic market is still highly fragmented



Diagnostic presence relatively under penetrated



Unique disruptions: Unlisted players posing challenges to listed ones (India)

Sector	Theme	Unlisted players involved
Automobiles	Future of personal transportation: Shift from product to service	Uber, Ola
FMCG	Value Migration from traditional FMCG to Ayurveda/Herbal players	Patanjali
BFSI	Payment banks and SFBs: Dawn of new era in Financials? (SFB: Small Finance Bank)	Paytm
Telecom	The disruptor with big pockets	RJIO

Value Migration: Potential Winners

Theme	Sector	Winners
Value Migration from Unorganized to Organized Segment	Mortgages (Home Finance)	Repco, Gruh Finance
Value Migration from Unorganized to Organized Segment	Jewelry	Titan
Value Migration from Unorganized to Organized Segment	Logistics	Third party logistics players
Value Migration from Unorganized to Organized Segment	Adhesives	Pidilite
Value Migration from Unorganized to Organized Segment	Light Electricals	CG Consumer, Havells
Value Migration Unleashed by Technology	Telecom	Bharti, BHIN
Value Migration Unleashed by Technology	Media	Netflix, Eros, Star, Shemaroo, Zee
Value Migration Unleashed by Technology	E - commerce	Amazon, Flipkart
Value migration due to Lifestyle Changes	Transportation	Indigo
Value migration due to Lifestyle Changes	Apparel	Page, Arvind
Value migration due to Lifestyle Changes	Diagnostics	Dr. Lal, SRL
Value migration due to Lifestyle Changes	Multiplex	PVR
Reverse Value Migration	Logistics	Concor, GDPL
Value Migration in Commodities	Aluminum	Hindalco

Value Migration: How to detect? (1/2)

- ❑ Detecting value migration is difficult even for a company totally involved in running its business and driving strategies.
 - ✓ Value inflow phase: most of the organization's energies and resources are concentrated towards meeting consumer demand.
 - ✓ Stability phase: complacency creeps in and prevents early detection of migration.
 - ✓ Value outflow phase: the focus is on preventing losses.
- ❑ The initial phases of value migration are quite subtle, gradual, and hence, difficult to understand. Also, when value migration is driven by new competition (and not the incumbents), it is difficult to detect.
 - For example, in the Two Wheeler industry, Eicher's Royal Enfield did not create any concern initially, as it was not a traditional competitor. The impact became evident only after few quarters/years of tangible market share gain by Eicher Motors
- ❑ Early detection of migration provides an edge in gaining early exposure to potential winners as well as avoids players on the wrong side of the equation.

Value Migration: How to detect? (2/2)

- ❑ **Market share movements** provide a very strong signal of value migration. Consistent share gain trends are usually a harbinger of bigger trends at work. (e.g., Indigo's consistent market share expansion in Airlines, Private Bank's share gain in savings deposits)
- ❑ **Innovation leadership** is another metric to identify potential beneficiaries of value migration. Players that drive innovation and create new categories/subcategories enjoy tremendous first mover advantages and trigger value migration. (e.g., Asian Paints - tinting machines, home solutions, color ideas, etc.)
- ❑ **Customer satisfaction scores**, while subjective, can act as a good starting point to understand whether customers are happy. Declining satisfaction scores should alert investors about impending value migration. (e.g., public sector banks and public sector telecom companies)
- ❑ **Policy changes**: In a regulated industry (e.g., aviation, power, etc.) changes in policy provide a trigger for value migration. While these are difficult to anticipate, close monitoring assumes critical importance in detecting any migration trends. Broad policy changes like GST implementation will hasten value migration from the unorganized to the organized sector.